

KITCHEN THREE

METHOD CREATES DISTINCTION

GUIDE 05 · OPERATIONS

The Egyptian Cloud Kitchen *Playbook*

Cloud kitchens promise lower CapEx, faster launch, and multi-brand leverage. They also break in ways traditional restaurants don't. The honest playbook — business case, licensing, aggregator economics, and the operational model that actually scales.

DEFINITION

What 'cloud kitchen' *actually* means.

The term gets used loosely. Before you commit to the model, get the categories straight — because each carries a different cost structure, licensing path, and operational risk.

A cloud kitchen (or "ghost kitchen", "dark kitchen", "virtual kitchen", "delivery-only kitchen") is a food production facility built for off-premises consumption — no dine-in, minimal walk-in, no service staff in the traditional sense. The customer never visits. The brand exists primarily on aggregator apps and on social media.

That is the simple definition. The model has three meaningful sub-categories, and they are not interchangeable:

1. Single-brand cloud kitchen

One brand, one menu, optimised for delivery. Lower CapEx and rent than a dine-in restaurant; same kitchen workflow; full margin from the food, less rent-on-front-of-house. The simplest version of the model. Common for first-time operators testing delivery economics.

2. Multi-brand cloud kitchen (single operator)

One operator runs multiple brands out of one kitchen. Shared back of house, shared staff, shared procurement, separate brand identities and menus on the apps. Each brand targets a different time-of-day or category — burgers at lunch, pasta at dinner, breakfast for the morning slot. Higher revenue per square metre, materially better economics, materially harder to execute well.

3. Multi-tenant cloud kitchen (landlord model)

A facility leases kitchen units to independent operators. Each tenant runs their own brand and staff but shares facility infrastructure — cold storage, dishwashing, waste handling, security, HACCP infrastructure. Kitchen Three's Kitchen Hive operates in this model. Low barrier to entry for tenants; higher fixed cost for the landlord.

THE NAMING DISTINCTION MATTERS

A central production unit (CPU) supplying multiple dine-in branches is NOT a cloud kitchen — it has a different licensing pathway and different operational model. Don't conflate them when applying for licences or describing the business to investors.

THE NUMBERS

The economics: cloud vs *traditional*.

The model's appeal is real, but the savings are smaller than the marketing claims and the risks are different in kind. Here is what we see in actual Egyptian operations.

LINE ITEM	TRADITIONAL RESTAURANT	CLOUD KITCHEN
Build-out CapEx	2.5–5M EGP for 100m ²	0.8–1.8M EGP for 35–60m ²
Monthly rent (Cairo C-grade)	40–90k EGP	15–40k EGP
Front-of-house staff	4–8 staff	0–1 (packing/dispatch)
Average ticket size	180–320 EGP (dine-in)	130–250 EGP (delivery)
Aggregator commission	25–35% on delivery sales (often < 30% of total)	25–35% on nearly all sales
Time to break-even	12–24 months	6–14 months
Marketing cost as % of revenue	3–6%	8–15% (app promotion + social)
Realistic gross margin	62–68%	52–60% after commission

THE HEADLINE SAVING AND ITS COST

Cloud kitchens save dramatically on CapEx, rent, and front-of-house labour. They give all that saving (and sometimes more) back in aggregator commissions. The model wins when volume and operational efficiency compensate for the commission drag. It loses when you treat it as "a cheaper restaurant."

Licensing a cloud kitchen *in Egypt*.

Almost identical to a traditional restaurant, with two important differences.

1. The full licence stack still applies

- ☐ GAFI commercial register with F&B activity code
- ☐ Tax card and VAT registration
- ☐ Civil-defence (fire) clearance for the kitchen premises
- ☐ Local health licence — kitchen layout, sinks, ventilation, drainage
- ☐ NFSA food establishment licence — the master food-safety licence
- ☐ Food handler health certificates for all kitchen staff
- ☐ Social Insurance and Labour Office registration for all employees

2. Premises classification matters

A cloud kitchen is typically licensed as a "food preparation facility" or "production kitchen" — not as a "restaurant" (which implies customer dine-in). The distinction affects rent classifications, building code requirements, and what fits in industrial vs commercial zones.

Most cloud kitchens in Cairo locate in mixed-use commercial buildings, light-industrial estates (industrial-zone units in New Cairo, 6 October, Obour), or purpose-built kitchen complexes. Each has trade-offs:

- **Commercial buildings** — closer to customers (faster delivery times), higher rent, harder to get heavy-duty ventilation approved
- **Industrial estates** — cheaper rent, easier permits for ventilation and waste, further from customers (delivery time hurts ranking on apps)
- **Purpose-built kitchen complexes** — shared infrastructure already permitted (Kitchen Hive model), faster setup, higher per-square-metre cost than industrial

3. HACCP becomes more important, not less

The customer never sees your kitchen. That's not a hygiene holiday — it's a trust gap. The aggregators audit. NFSA inspects. Corporate B2B customers (a meaningful slice of cloud-kitchen revenue) demand certification. Operate HACCP-certified or be ready to lose a third of the addressable market.

THE 'HOME KITCHEN' SHORTCUT IS A TRAP

Some entrepreneurs start by selling from a home kitchen via Instagram or WhatsApp. This is technically illegal for production at any scale in Egypt — no commercial register, no NFSA licence, no health clearance. It works for two months. It fails at the first customer complaint, the first competitor reporting you, or the first regulatory sweep. Treat the home kitchen as a recipe-development tool, not a business.

The economics of *Talabat*, *Elmenus*, *Mrsool*.

For a cloud kitchen, the aggregators are not a channel. They are the business. Understanding their economics is more important than understanding your own menu.

1. Commission structure

- **Talabat** — typically 25–30% commission, plus optional paid placement ("Hero", "Sponsored") that adds another 5–15 percentage points effective cost. Largest market share in Egypt.
- **Elmenus** — typically 22–28% commission, smaller but more upscale customer base, better unit economics on premium concepts.
- **Mrsood (regional)** — varies by negotiation; growing in Egypt; commission similar to Talabat.
- **Your own ordering (website / WhatsApp)** — 0% commission but requires your own delivery fleet or a third-party logistics provider, plus your own marketing. Real cost is 8–15% all-in for a well-run direct channel.

2. Ranking dynamics

Three signals drive your ranking on the apps, in roughly this order of impact:

- **Conversion rate** — what percentage of views become orders. Drives ranking. Improved by good photography, complete menus, accurate descriptions, competitive pricing.
- **Operational reliability** — order acceptance time, on-time-prep rate, low cancellation rate. Falls fast if your kitchen can't keep up during peak hours.
- **Customer ratings** — 4.5+ stars is necessary, not impressive. Below 4.3 and your ranking drops materially.

3. The promotion tax

To launch on an aggregator you'll typically run 25–50% off promotions for the first 30–60 days. This is on top of the commission. Net margin on a promoted dish can be effectively zero or negative. Plan opening-month cash for this; it is not optional, it is what makes the platform work.

The aggregators are landlords with no walls. You pay them rent every order, you live in their building, and they decide where you sit relative to your competitors. Build your operation accordingly.

— KITCHEN THREE FIELD NOTE

Kitchen design *for delivery.*

A delivery-only kitchen is laid out differently from a dine-in kitchen. Optimise for throughput in 25-minute windows, not for plate composition.

1. The pack-station is the bottleneck

The cooked food has to be packed, labelled, sealed, bagged, and handed to a courier inside 90 seconds — or it sits and cools. In most under-performing cloud kitchens, the pack station is an afterthought next to the dishwasher. Design it as a dedicated zone: bench space, container shelving by SKU, label printer, sealer, holding shelf for couriers.

2. Packaging is part of the dish

- ☐ Containers tested with the actual food for 30 minutes (delivery time + waiting + handover) — does it leak, sog, separate?
- ☐ Hot and cold items packed separately, even for the same order
- ☐ Sauces in side containers if the dish suffers from sauce migration
- ☐ Tamper-evident seals on every package (corporate B2B will refuse you without these)
- ☐ Brand-printed packaging — your only physical brand impression on the customer

3. Courier handover

- ☐ Visible, dedicated courier waiting area outside the kitchen — they should not enter the food production zone
- ☐ Order verification at handover — order number matched to bag, courier name logged
- ☐ Hot bags or insulated carriers if you control the fleet; standard for any premium concept
- ☐ Outdoor signage so couriers can find you — most cloud kitchens are inside complexes with poor signage

4. Multi-brand operations

If you run multiple brands, structure the kitchen so that one staff member can produce any brand's dishes from the same prep station. Centralise ingredients (common proteins, common bases) and brand-differentiate at finishing. Each brand has its own menu engineering review and its own marketing budget, but they share the operational chassis.

5. Peak hour math

Cloud kitchens earn their living in two windows — lunch (12:30–2:30pm) and dinner (7:00–10:00pm). 60–75% of revenue happens in 5 hours. Staffing, prep, and cold-chain logistics must be designed for that peak, not for the average. A kitchen that handles average volume but breaks at peak loses ranking every weekend.

WHERE THE MODEL TRULY SCALES

The mathematical leverage of cloud kitchens shows up at scale: a multi-brand operation in a well-located facility, running 4–6 brands, can produce 3–4x the revenue per square metre of a single-brand operation in the same space. That is where the model justifies itself. A single-brand cloud kitchen is a delivery-optimised restaurant — useful, but not transformative.

Ready to *build*?

Kitchen Three operates Kitchen Hive — a HACCP-certified, Codex Alimentarius-compliant cloud kitchen facility in New Cairo. We rent space, build brands, run multi-tenant operations, and consult on cloud-kitchen launches across Egypt. Talk to us about a tour, a tenancy, or a turnkey launch.

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